

All figures sourced from Government of Canada and Government of Alberta open data, Statistics Canada, federal and provincial statute, UN treaty, and peer-reviewed research.

Section 2.4 — The Guaranteed Income Supplement, the Allowance, and the Partnership Penalty

The Guaranteed Income Supplement is the federal program designed to lift low-income seniors above the floor that OAS alone would leave them on. It is also the program through which the partnership penalty operates most clearly at the senior stage, and the program in which the campaign canon's central observation about the structural pressure to live alone receives its most complete documentary expression. This Section walks GIS, the related Allowance and Allowance for the Survivor benefits, the published 2026 dollar amounts, and the partnership penalty math that the federal benefit table produces.

What GIS is

The Guaranteed Income Supplement is a non-taxable monthly federal benefit paid to OAS recipients with low income. (Source: *Old Age Security Act, R.S.C. 1985, c. O-9, Part II; Service Canada — Guaranteed Income Supplement page, 2026.*) It is funded from the same general revenue source as OAS. It is income-tested: the amount of GIS payable is reduced as the recipient's other income increases. To qualify, the recipient must be sixty-five or older, must be receiving OAS, must be resident in Canada, and must have annual income (or combined annual income, for couples) below the applicable threshold for their marital and household situation.

GIS was introduced in 1967 — two years after the establishment of OAS — to address senior poverty among Canadians whose work history had not produced sufficient retirement income to live above the poverty line on OAS alone. (Source: *Library of Parliament — Old Age Security Act and Guaranteed Income Supplement: Background and History, 2018.*) It was designed as an anti-poverty program. It was set, deliberately, at a level near but generally below the Canadian poverty line, on the basis that a benefit set above the poverty line might disincentivize work or savings during the working years. The poverty-floor design choice has been documented in policy literature for decades and has been the subject of academic and advocacy critique consistently. (Source: *Institute for Research on Public Policy — "Unfinished Business: Pension Reform in Canada," 2018; National Council of Welfare — Welfare Incomes reports, multiple years; Caledon Institute of Social Policy — Income Security for Seniors, multiple papers.*)

Current GIS amounts

For the period January through March 2026, the maximum monthly GIS amount for a single, divorced, or widowed senior was \$1,109.85 per month, payable at annual income (excluding OAS) below approximately \$22,440. (Source: *Service Canada — Old Age Security Benefit Payment Rates, January–March 2026; Spring Financial — Guaranteed Income Supplement page, 2026.*)

For a senior who is married or in a common-law relationship and whose spouse also receives OAS, the maximum monthly GIS amount per spouse was \$668.08 per month, with combined annual income (excluding OAS for both partners) below approximately \$29,712. (Source: *Service Canada — Old Age Security Benefit Payment Rates, January–March 2026; ATB Financial — OAS Allowance and GIS for Low Income Seniors, 2026.*)

For a senior whose spouse does not receive OAS or the Allowance, the maximum monthly GIS was approximately \$1,409.72 per month, with combined annual income below approximately \$53,904. (Source: *ATB Financial — OAS Allowance and GIS, 2026 figures table.*)

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For a senior whose spouse receives the Allowance (the spouse being aged 60 to 64), the maximum monthly GIS was \$667.41 per month, with combined annual income below approximately \$41,616.

These figures are adjusted quarterly for inflation.

What the partnership-penalty math actually shows

The single most consequential operational fact about GIS, for the central argument of this document, is the size of the partnership penalty built into the benefit table. The published Service Canada amounts produce the following comparison:

- Two single seniors, each at low income, each receiving the maximum single GIS, total combined GIS: \$2,219.70 per month. (Two times \$1,109.85.)
- The same two people, married or common-law, both receiving OAS, each at the same low income, each receiving the maximum couple GIS, total combined GIS: \$1,336.16 per month. (Two times \$668.08.)
- Difference: \$883.54 per month. Annualized: \$10,602.48 per year.

The same two people, with the same total income, in the same housing market, with the same expenses, receive \$883.54 per month less in GIS for being together than they would receive for being apart. The penalty is built into the benefit table. It is not a calculation requiring assumptions, modeling, or interpretation. It is the published Service Canada figure.

The justification for the difference, in policy intent, is that two people sharing a household have lower per-person living costs than two people maintaining separate households — economies of scale on rent, utilities, groceries, transportation, and other shared expenses. The justification has merit in the abstract. It does not have merit at the dollar amounts the benefit table actually produces. Two single seniors each receive enough OAS plus GIS to live just below or at the Market Basket Measure poverty threshold for a single person. The same two people coupled receive substantially less than the poverty threshold for a couple. The economies-of-scale justification, applied at the dollar level the program actually pays, produces a couple-floor that is below the cost of a couple's living, in current Canadian housing markets in particular.

Form ISP-3040 and what it admits

Service Canada's Form ISP-3040 is titled "Statement — Spouses or Common-law Partners Living Apart for Reasons Beyond their Control." (Source: *Service Canada — Form ISP-3040, "Statement – Spouses or Common-law Partners Living Apart for Reasons Beyond their Control," 2017 and current.*) The form's purpose is to allow GIS to be calculated on individual income rather than combined income when separation is involuntary — for example, when one spouse is in long-term care, in hospital, or otherwise unable to maintain the shared household. The form's text includes the phrase: GIS payments may be calculated on individual income rather than combined income "if it is to the advantage of the couple."

The existence of Form ISP-3040 is the Government of Canada acknowledging, in its own paperwork, that being apart yields more benefits than being together. The "for reasons beyond their control" qualifier is the policing mechanism. Voluntary separation for benefits is not supposed to qualify for the higher individual-income calculation. The form requires the couple to demonstrate the involuntary nature of their separation, with the federal adjudication process determining whether the separation meets the standard.

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The form proves three things at once. It proves that the partnership penalty is large enough that the federal government has built an administrative procedure around the question of whether to apply it. It proves that the federal government knows the penalty creates pressure to live apart. It proves that the federal government has chosen to differentiate between "involuntary" separation (rewarded) and "voluntary" separation (not rewarded) — a differentiation that requires policing the intent of the separating couple, which the federal government does through the form's documentation requirements.

Living-Apart-Together among Canadian seniors

Statistics Canada has documented the increase in Living-Apart-Together (LAT) couples among older Canadians over the past two decades. (Source: Statistics Canada — Martin Turcotte, "Living apart together," March 2013 (revised 2016); Vanier Institute of the Family — Families Count 2024, "Living apart is increasingly common among couples," November 2024.) LAT couples are couples in committed intimate relationships who maintain separate residences. The Statistics Canada analysis identifies that the proportion of people aged sixty and over in LAT couples increased between 2001 and 2011, and that the number of older LAT couples who wanted to continue living apart (rather than viewing the arrangement as transitional) increased noticeably in the same period.

The Vanier Institute reports that approximately 5% of Canadians aged fifty-five to sixty-four in couples were living apart in 2017, with the trend particularly pronounced among older cohorts. The studies do not isolate financial-incentive structures as the sole or primary driver of LAT among seniors — the academic literature identifies multiple drivers including independence preferences, health considerations, and prior-relationship complications. Financial considerations are documented as one driver among several.

The financial driver, in operational terms, is the GIS partnership penalty calculated above. A couple at low income who lives apart receives \$10,602 per year more in GIS than the same couple living together. Over a decade of senior life, the cumulative difference is over \$100,000. The decision to live apart, framed by the couple as a preference for independence or as a response to the practical realities of aging, is also a decision that the federal benefit table financially rewards. The reward is large enough to be material.

What mainstream Canadian policy literature has named

The structural disincentive built into GIS is named explicitly in Canadian mainstream policy literature, not only in disability advocacy. The Montreal Economic Institute documents that GIS is "aggressively income-tested, which sharply penalizes any efforts to work in order to get ahead," and produces "participation tax rates" for low-income seniors that rival those faced by higher-income workers. (Source: Montreal Economic Institute — "End Penalties That Punish Low-Income Seniors Who Work," 2025-2026.) The C.D. Howe Institute, in a November 2025 report, found that Canadians with modest pension income that includes CPP, OAS, and GIS face punitive clawback structures with marginal effective tax rates significantly higher than those faced by middle-income earners. (Source: C.D. Howe Institute — Modest-Pension Clawback Analysis, November 2025; Globe and Mail — "Canada's tax system puts low-income working seniors at a disadvantage, report finds," January 2026.) The Institute for Research on Public Policy, in its 2018 paper "Unfinished Business: Pension Reform in Canada," flagged the need to "minimize overlapping tax and tax-back rates, which serve as disincentives both to save for retirement and to take employment at an older age." (Source: Institute for Research on Public Policy — "Unfinished Business: Pension Reform in Canada," 2018.) Jamie Golombek, managing director and head of tax and estate planning at CIBC Private Wealth, characterized the GIS clawback in the Globe and Mail in January

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2026 as "very steep" and a "disincentive to earn income."

These are mainstream Canadian policy and finance voices — not disability advocacy organizations, not seniors' advocacy organizations — naming the structural problem. The clawback structure is documented across the policy literature. The policy reform proposals are documented. The reforms have not been implemented. The clawback continues.

The Allowance and the Allowance for the Survivor

The Allowance is a non-taxable monthly federal benefit available to low-income individuals aged 60 to 64 whose spouse or common-law partner is receiving OAS and is eligible for GIS. (Source: *Old Age Security Act, Part III; Service Canada — Allowance page, 2026.*) The 2026 maximum Allowance is approximately \$1,405.50 per month, payable at combined household income below approximately \$39,984. The Allowance ends the month following the recipient's sixty-fifth birthday, at which point the recipient's own OAS and GIS (where eligible) take over.

The Allowance for the Survivor is a parallel program for surviving spouses or common-law partners aged 60 to 64 whose partner has died and who have not remarried or entered a new common-law relationship. (Source: *Old Age Security Act, Part III; Service Canada — Allowance for the Survivor page, 2026.*) The 2026 maximum Allowance for the Survivor is \$1,680.47 per month, payable at annual income below approximately \$30,312. The Allowance for the Survivor ends the month following the recipient's sixty-fifth birthday.

The structural feature of both Allowance programs that the working-age reader most needs to understand is that they are not available to single low-income individuals aged 60 to 64 who are not in a current marriage or partnership with an OAS recipient and who have not been widowed. A single person aged 60 to 64 with no employment income, no OAS-eligible partner, and no surviving-spouse status is not eligible for either Allowance. They are in the gap zone — too young for OAS, too young for CPP retirement at the full rate, with no other federal monthly income support available. They may qualify for provincial Income Support at substantially lower rates than either Allowance pays. They may qualify for AISH if they meet the disability eligibility criteria. They may apply for early CPP retirement starting at age 60, at a permanently reduced rate (approximately 36% below the age-sixty-five amount).

The 60-to-64 gap zone is documented in Canadian senior-poverty literature as a structural exclusion that disproportionately affects single women, divorced individuals, never-married individuals, and individuals whose spouses are also under sixty-five. (Source: *Statistics Canada — Income of Senior Women, 2017 and 2022; National Institute on Ageing — Pre-Senior Income Insecurity in Canada, 2023.*) The gap zone is one of the points in the lifecycle reassessment thread documented in Section 2.6 below where the system most clearly excludes a population that other elements of the system are notionally designed to support.

The 2025 sponsorship exclusion

Effective October 1, 2025, individuals under a sponsorship agreement (including under family-class sponsorship of parents and grandparents) are not eligible to receive GIS, the Allowance, or the Allowance for the Survivor for the duration of the sponsorship period. (Source: *Service Canada — Allowance: Do you qualify, sponsorship clause, 2025; Government of Canada — Immigration, Refugees and Citizenship Canada policy update, 2025.*) For parent-and-grandparent sponsorship, the sponsorship period is twenty

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years.

The structural impact is that a sponsored senior — typically an immigrant brought to Canada by adult children under family-class sponsorship — is, for the first twenty years of their Canadian residency, entirely dependent on the sponsor for income support. They do not have access to the income-tested federal supplements that supplement OAS for low-income seniors. They may qualify for OAS itself if residency requirements are met (with partial OAS available after ten years and full OAS after forty), but the OAS amount alone is insufficient to live on. The sponsorship exclusion structurally extends the dependency period for sponsored seniors well past the point at which their own children and grandchildren may be able to support them, and creates conditions in which a sponsored senior whose sponsor's situation deteriorates — through the sponsor's own job loss, illness, divorce, or death — has limited fallback support.

The 2025 sponsorship-rule change was implemented under the Government of Canada's October 2025 immigration policy update. It applies prospectively to new sponsorship undertakings; existing sponsorship undertakings retain their previous treatment. The change has not been the subject of widespread public discussion. It is consequential for the immigrant senior population whose family-class sponsorship has historically included an expectation of access to GIS as part of the senior income-security architecture.

The lifecycle observation

GIS is the federal program in which the partnership penalty is most fully developed and most clearly documented. It is also the program in which the federal-contribution-capture pattern documented in Section 2.3 reaches its endpoint at the senior stage. Each dollar of CPP retirement income reduces GIS at the standard fifty-cents-per-dollar reduction rate (with some exemptions). Each dollar of workplace pension income reduces GIS at the same rate. Each dollar of investment income reduces GIS. The recipient who saved during working years, who paid into CPP during working years, who built a workplace pension during working years, sees those streams of retirement income captured by GIS reduction at the rate of 50 cents on the dollar — for as long as their total income remains below the GIS phase-out threshold.

This is the structural truth that the partnership-penalty math and the contribution-capture math together produce. The senior who lived a financially responsible working life and is now low-income because their working income was modest receives, in net terms, less benefit from their working-years contributions and savings than a senior who never contributed or saved. The fifty-cents-on-the-dollar GIS reduction means that the contributing-and-saving senior's net advantage from those contributions and savings is half what they would have received outside the GIS phase-out range. The non-contributing senior receives the full GIS at the floor. The contributing senior receives a reduced GIS plus the contribution income, with a net total only marginally above the GIS-only floor.

The structural pattern is consistent with everything Movement One and Movement Two so far have documented. The system delivers a floor. It captures the upside of contributions and savings on the way to that floor. The senior who tried to do everything right finishes within hailing distance of the senior who did not.

Section 2.5 walks the Alberta provincial seniors program inventory — the provincial layer that adds to or overlays the federal architecture documented in Sections 2.1 through 2.4.